Employee Stock Option Plan (ESOP) Template

EQUITY INCENTIVE PLAN

[COMPANY NAME]

Adopted: [DATE]

ARTICLE 1: PURPOSE

1.1 Purpose

The purpose of this Equity Incentive Plan (the "Plan") is to advance the interests of COMPANY NAME by providing eligible individuals with the opportunity to acquire an ownership interest in the Company, thereby aligning their interests with those of the Company's stockholders.

1.2 Eligible Participants

The following individuals are eligible to receive Awards under the Plan:

- Employees of the Company
- Directors of the Company
- Consultants and advisors to the Company

ARTICLE 2: DEFINITIONS

“Award” means any Option, Restricted Stock, RSU, or other equity-based award granted under the Plan.

“Board” means the Board of Directors of the Company.

“Common Stock” means the common stock of the Company.

“Exercise Price” means the price per share at which an Option may be exercised.

“Fair Market Value” means the fair market value of the Common Stock as determined by the Board.

“Option” means a stock option granted under the Plan.

“Vesting Schedule” means the schedule upon which an Award becomes exercisable or non-forfeitable.

ARTICLE 3: SHARES AVAILABLE

3.1 Share Reserve

The maximum number of shares of Common Stock available for issuance under the Plan is [X] shares, representing [X]% of the Company’s fully-diluted capitalization.

3.2 Share Counting

- Shares subject to Awards that expire, terminate, or are forfeited shall be available for future Awards
- Shares withheld for tax withholding shall not be available for future Awards

3.3 Adjustments

The share reserve and outstanding Awards shall be adjusted for stock splits, stock dividends, and similar events.

ARTICLE 4: STOCK OPTIONS

4.1 Grant of Options

The Board may grant Options to eligible participants. Each Option grant shall be evidenced by a Stock Option Agreement.

4.2 Types of Options

- **Incentive Stock Options (ISOs):** Available only to employees, with favorable tax treatment
- **Non-Qualified Stock Options (NQSOs):** Available to all eligible participants

4.3 Exercise Price

The Exercise Price shall be at least 100% of Fair Market Value on the grant date (110% for ISOs granted to 10% stockholders).

4.4 Term

Options shall have a maximum term of 10 years (5 years for ISOs granted to 10% stockholders).

4.5 Vesting

Options shall vest according to the schedule specified in the Stock Option Agreement. The standard vesting schedule is:

- **4-year vesting** with a **1-year cliff**
- 25% vests on the first anniversary
- Remaining 75% vests monthly over 36 months

4.6 Exercise

Options may be exercised by:

- Cash payment

- Net exercise (if permitted)
- Same-day sale (if publicly traded)

ARTICLE 5: RESTRICTED STOCK AND RSUs

5.1 Restricted Stock

The Board may grant shares of Restricted Stock subject to vesting and forfeiture conditions.

5.2 Restricted Stock Units (RSUs)

The Board may grant RSUs, which represent the right to receive shares upon vesting.

5.3 Vesting

Restricted Stock and RSUs shall vest according to the schedule specified in the Award Agreement.

ARTICLE 6: TERMINATION OF SERVICE

6.1 Termination Without Cause

- Vested Options remain exercisable for 90 days
- Unvested Awards are forfeited

6.2 Termination for Cause

- All Options (vested and unvested) are immediately forfeited
- All unvested Restricted Stock/RSUs are forfeited

6.3 Death or Disability

- All unvested Awards immediately vest

- Options remain exercisable for 12 months

6.4 Resignation

- Vested Options remain exercisable for 90 days
- Unvested Awards are forfeited

ARTICLE 7: CHANGE OF CONTROL

7.1 Definition

“Change of Control” means:

- Acquisition of more than 50% of voting stock
- Sale of substantially all assets
- Merger or consolidation

7.2 Treatment of Awards

Upon a Change of Control:

- Awards may be assumed or substituted by the acquirer
- If not assumed, Awards shall immediately vest
- The Board may provide for cash-out of Awards

7.3 Double Trigger Acceleration

If Awards are assumed and participant is terminated without cause within 12 months of Change of Control, all Awards shall immediately vest.

ARTICLE 8: ADMINISTRATION

8.1 Administrator

The Plan shall be administered by the Board or a committee designated by the Board.

8.2 Powers

The Administrator has full authority to:

- Select participants
- Determine Award types and amounts
- Establish vesting schedules
- Interpret the Plan
- Make all determinations necessary for Plan administration

ARTICLE 9: TAX MATTERS

9.1 Tax Withholding

The Company may withhold taxes from any Award or require payment of taxes as a condition to exercise.

9.2 83(b) Election

Participants receiving Restricted Stock may file an 83(b) election within 30 days of grant.

9.3 ISO Limitations

The aggregate Fair Market Value of shares subject to ISOs that become exercisable in any calendar year shall not exceed $100,000.

ARTICLE 10: GENERAL PROVISIONS

10.1 Non-Transferability

Awards may not be transferred except by will or laws of descent.

10.2 No Right to Employment

Nothing in the Plan guarantees continued employment.

10.3 Governing Law

The Plan shall be governed by Delaware law.

10.4 Amendment and Termination

The Board may amend or terminate the Plan at any time, subject to stockholder approval where required.

STOCK OPTION AGREEMENT TEMPLATE

STOCK OPTION AGREEMENT

Participant: [NAME] **Grant Date:** [DATE] **Number of Shares:** [X] shares **Exercise Price:** $[X] per share **Option Type:** [ISO/NQSO] **Expiration Date:** [DATE]

Vesting Schedule:

- 25% on [1-year anniversary]
- 1/48th monthly thereafter

Exercise Procedures: [Details on how to exercise]

83(b) ELECTION FORM

ELECTION UNDER SECTION 83(b) OF THE INTERNAL REVENUE CODE

The undersigned taxpayer hereby elects, pursuant to Section 83(b) of the Internal Revenue Code, to include in gross income the excess of the fair market value of the property described below over the amount paid for such property.

1. **Taxpayer Name:** [NAME]
2. **Taxpayer Address:** [ADDRESS]
3. **Taxpayer SSN:** [XXX-XX-XXXX]
4. **Description of Property:** [X] shares of Common Stock of [COMPANY NAME]
5. **Date of Transfer:** [DATE]
6. **Nature of Restrictions:** [VESTING SCHEDULE]
7. **Fair Market Value:** $[X] per share
8. **Amount Paid:** $[X] per share
9. **Amount to Include in Income:** $[X]

IMPORTANT: This election must be filed with the IRS within 30 days of the transfer date.

This is a template document. Please consult with legal counsel before use.

Source: Adapted from Orrick Tech Studio - https://www.orrick.com/en/tech-studio/forms